



Issuer: Hang Seng Investment Management Limited

- ***This is a passive exchange traded fund.***
- ***This statement provides you with key information about the Hang Seng China Enterprises Index ETF (the “HSCEI ETF”).***
- ***This statement is a part of the Hong Kong Offering Document of the HSCEI ETF.***
- ***You should not invest in the HSCEI ETF based on this statement alone.***

Quick Facts

Stock Code:	HKD Counter – 02828 RMB Counter – 82828
Trading Lot Size:	HKD Counter – 200 Units RMB Counter – 200 Units
Manager:	Hang Seng Investment Management Limited
Trustee, Custodian & Registrar:	HSBC Institutional Trust Services (Asia) Limited
Underlying Index:	Hang Seng China Enterprises Index
Trading Currency:	HKD Counter – Hong Kong dollars (HKD) RMB Counter – Renminbi (RMB)
Base Currency:	Hong Kong dollars (HKD)
Financial Year End of the HSCEI ETF:	31 December
Dividend Policy:	Semi-annual cash dividends (if any) at the discretion of the Manager, which are expected to be in respect of the first half and the second half of each calendar year respectively. The Manager currently intends to make declaration of dividend in June and September of each year. Each Unitholder will receive dividends in HKD only (whether holding HKD traded Units or RMB traded Units). There is no guarantee of regular distribution of dividends and if dividend is paid the amount being distributed. The Manager may, at its discretion, pay dividend out of capital. The Manager may also, at its discretion, pay dividend out of gross income while all or part of the fees and expenses of the HSCEI ETF are charged to/paid out of the capital of the HSCEI ETF, resulting in an increase in distributable income for the payment of dividends by the HSCEI ETF and therefore, the HSCEI ETF may effectively pay dividend out of capital. Payment of dividends out of capital or effectively out of capital amounts to a return or withdrawal of part of an investor’s original investment or from any capital gains attributable to that original investment. Any distributions of dividends involving payment of dividends out of capital or effectively out of capital may result in an immediate reduction of the Net Asset Value per Unit.
Ongoing Charges Over a Year*:	0.66%
Tracking Difference of 2025#:	-0.91%
ETF Website:	www.hangsenginvestment.com ▲

* The ongoing charges figure is based on ongoing expenses for the year ended 31 December 2025, expressed as a percentage of the HSCEI ETF's average Net Asset Value for the same period. It includes the fees of the Manager and the Trustee. Please refer to the "Fees and Expenses Payable by the HSCEI ETF" section in the Hong Kong Offering Document for details. This figure may vary from year to year.

This is the actual tracking difference of the calendar year 2025. Investors should refer to the ETF website for more up-to-date information on actual tracking difference.

What is the HSCEI ETF?

The HSCEI ETF is a sub-fund of the Hang Seng Investment Index Funds Series, a unit trust established as an umbrella fund under the laws of Hong Kong. The Units of the HSCEI ETF are listed on The Stock Exchange of Hong Kong Limited (the "SEHK") and are traded on the SEHK like listed stocks. The HSCEI ETF is a passively managed index tracking exchange traded fund ("ETF") falling under Chapter 8.6 of the Code on Unit Trusts and Mutual Funds.

The HSCEI ETF is a "physical" ETF meaning that it invests directly in and holds securities.

Objective and Investment Strategy

Objective

The HSCEI ETF is an index-tracking fund which aims to match, before expenses, as closely as practicable the performance of the Hang Seng China Enterprises Index (the "Index").

Investment Strategy

The Manager primarily adopts a replication strategy. The HSCEI ETF invests in substantially all the constituent stocks of the Index in substantially the same weightings (i.e. proportions) as these stocks have in the Index.

In order to maximise portfolio management efficiency, minimise transaction costs and tracking error, exposure to the Index may also be obtained through other index-tracking strategies or financial derivative instruments from which the return to the HSCEI ETF substantially reflects the performance of the Index. Such strategies and instruments are chosen based on their correlation to the Index and cost efficiency in order to reflect the characteristics of the Index. Hence, the Manager may decide to utilise a representative sampling strategy or another investment strategy from time to time to achieve the HSCEI ETF's investment objective.

Although financial derivative instruments may be used (as aforesaid), they will not be used extensively for investment purpose.

The HSCEI ETF can enter into securities lending transactions for a maximum level of up to 10% and expected level of up to 10% of its Net Asset Value. The Manager will be able to recall the securities lent out at any time. All securities lending transactions will only be carried out in the best interest of the HSCEI ETF and as set out in the relevant securities lending agreement. Such transactions may be terminated at any time by the Manager at its absolute discretion. As part of its securities lending transactions, the HSCEI ETF will receive collateral, the value of which, during the duration of the securities lending agreement, will be equivalent to at least 100% of the valuation of the securities lent, marked to market on a daily basis.

Currently, the Manager has no intention to have any sale and repurchase transactions and reverse repurchase transactions or similar over-the-counter transactions entered into for the account of the HSCEI ETF. In the future, where the Manager intends to have any sales and repurchase transactions and reverse repurchase transactions or similar over-the-counter transactions entered into for the account of the HSCEI ETF, subject to SFC's prior approval (if necessary), 1 month's prior notice will be given to the relevant Unitholders.

Index

The Index, launched on 8 August 1994, serves as a benchmark to reflect the overall performance of Mainland securities listed in Hong Kong. The Index is denominated in HKD and is calculated with a base value of 2000 as of 3 January 2000. It is calculated and disseminated real-time at 2-second intervals during trading hours

of the SEHK.

The Index is compiled and managed by Hang Seng Indexes Company Limited (“HSIL”), a wholly-owned subsidiary of Hang Seng Bank Limited.

The universe of securities of the Index includes securities listed on the Main Board of the SEHK. Stapled securities, foreign companies, biotech companies with stock names ended with marker “B”, specialist technology companies with stock names end with marker “P” and investment companies listed under Chapter 21 of the Main Board Listing Rules of Hong Kong Exchanges and Clearing Limited are excluded.

To be eligible for selection, a security in the universe must fulfil the eligibility criteria of the Index which include the listing history requirement, turnover requirement and geographical requirement. The top 50 eligible securities with the highest combined market value rank will be selected as constituents of the Index. For details of the combined market value rank, please refer to the Index Methodology General Guide published by HSIL.

A newly listed security will be added to the Index if its full market capitalisation ranks within the top 10 of the existing constituents on its first trading day. The ad-hoc addition will normally be implemented after the close of the 10th trading day of the new issue. The number of constituents will be reset in the next regular review.

The number of constituents is fixed at 50. The constituents of the Index are reviewed quarterly.

The Index is a total return index and adopts a freefloat-adjusted market capitalisation weighted methodology with a 8% cap on individual securities.

As at 31 March 2026, the Index comprised 50 constituents listed on the SEHK with freefloat-adjusted index market capitalisation (after capping) of HKD 10,548.7 billion.

The constituent stocks of the Index together with their respective weightings, the Index methodology and other important news relating to the Index are available at the website of the index provider, HSIL (“**Index Provider**”), at www.hsi.com.hk[▲].

Use of derivatives / Investment in derivatives

The HSCEI ETF's net derivative exposure may be up to 50% of its Net Asset Value.

What are the key risks?

Investment involves risks. Please refer to the “What are the Risks of Investing in the HSCEI ETF?” section in the Hong Kong Offering Document of the HSCEI ETF for details.

1. Investment Risk

- ❖ The HSCEI ETF is an investment fund and its investment portfolio may fall in value due to any of the key risk factors below and therefore your investment in the HSCEI ETF may suffer losses. There is no guarantee of the repayment of principal. There is no assurance that the HSCEI ETF will achieve its investment objective.

2. Equity Market Risk

- ❖ The HSCEI ETF's investments in equity securities is subject to general market risks, and the value of such investments may fluctuate due to various factors such as changes in investment sentiment, political and economic conditions and issuer-specific factors.

3. Tracking Error Risk

- ❖ The HSCEI ETF may be subject to tracking error risk, which is the risk that its performance may not track that of the Index exactly. This tracking error may result from factors such as the investment strategy used, fees and expenses. The Manager will monitor and seek to manage such risk in

minimising tracking error.

- ❖ There can be no assurance of exact or identical replication at any time of the performance of the Index.

4. Dual Counter Risk

- ❖ The market price of Units traded in each counter may deviate significantly. As such, investors may pay more or receive less when buying or selling Units traded in HKD on the SEHK than in respect of Units traded in RMB and *vice versa*.

5. Passive Investment Risk

- ❖ The HSCEI ETF is passively managed and the Manager will not have the discretion to adapt to market changes due to the inherent investment nature of the HSCEI ETF. Falls in the Index are expected to result in corresponding falls in the value of the HSCEI ETF.

6. Concentration and Mainland market Risks

- ❖ The HSCEI ETF's investments are concentrated in securities listed on the SEHK of companies having major business exposure to Mainland. The value of the HSCEI ETF may be more volatile than that of a fund having a more diverse portfolio of investments. The value of the HSCEI ETF may be more susceptible to adverse economic, political, policy, foreign exchange, liquidity, tax, legal or regulatory event affecting the Mainland market.
- ❖ The HSCEI ETF's investments in mainland China, an emerging market, may involve increased risks and special considerations not typically associated with investment in more developed markets, such as liquidity risks, currency risks/control, political and economic uncertainties, legal and taxation risks, settlement risks, custody risk and the likelihood of a high degree of volatility.

7. Trading Risk

- ❖ The trading price of the Units on the SEHK is driven by market factors such as the demand and supply of the Units. Therefore, the Units may trade at a substantial premium or discount to the HSCEI ETF's Net Asset Value.
- ❖ As investors will pay certain charges (e.g. trading fees and brokerage fees) to buy or sell Units on the SEHK, investors may pay more than the Net Asset Value per Unit when buying Units on the SEHK, and may receive less than the Net Asset Value per Unit when selling Units on the SEHK.
- ❖ The Units in the RMB counter are securities traded on the SEHK, and settled in CCASS, in RMB. Not all stockbrokers or custodians may be ready and able to carry out trading and settlement of the RMB traded Units. The limited availability of RMB outside the PRC may also affect the liquidity and trading price of the RMB traded Units.

8. Distribution Out of Capital or Effectively Out of Capital Risk

- ❖ Payment of dividends out of capital and/or effectively out of capital amounts to a return or withdrawal of part of an investor's original investment or from any capital gains attributable to that original investment. Any such distributions may result in an immediate reduction of the Net Asset Value per Unit.

9. PRC Tax Risk

- ❖ There are risks and uncertainties associated with the current PRC tax (including PRC Corporate Income Tax and PRC Value-Added Tax) laws, regulations and practice in respect of income (such as dividend income) derived in the PRC from the HSCEI ETF's investments in H-Shares, Red-chips and P-chips (which may have retrospective effect). Any increased tax liabilities on the HSCEI ETF may adversely affect the HSCEI ETF's value. The HSCEI ETF may also be subject to other taxes imposed in the PRC, which may reduce the income from, and/or the value of, the relevant investments in the HSCEI ETF.

10. General risks of investments associated with RMB currency

- ❖ The HSCEI ETF is denominated in HKD but has Units traded in RMB. RMB is currently not freely convertible and is subject to exchange controls and restrictions. Although offshore RMB (CNH) and onshore RMB (CNY) are the same currency, they trade at different rates. Any divergence between CNH and CNY may adversely impact investors.
- ❖ Non-RMB based investors who buy and sell Units traded in RMB are exposed to foreign exchange risk and there is no guarantee that the value of RMB against the investors' base currencies (for example HKD) will not depreciate. Any depreciation of RMB could adversely affect the value of the investor's investment in Units traded in RMB.

11. Reliance on Market Maker Risk

- ❖ Although the Manager will use its best endeavours to put in place arrangements so that at least one market maker will maintain a market for the Units traded in each counter and that at least one market maker to each counter gives not less than 3 months' notice prior to terminating the market making arrangement under the relevant market maker agreement, liquidity in the market for the Units may be adversely affected if there is no or only one market maker for the RMB or HKD traded Units. There is also no guarantee that any market making activity will be effective.
- ❖ There may be less interest by potential market makers making a market in Units traded in RMB. Any disruption to the availability of RMB may adversely affect the capability of market makers in providing liquidity for the Units.

12. Reliance on the Same Group Risk

- ❖ The Index Provider is presently HSIL, which calculates and reports the daily closing level of the Index (or designates parties to do so). Both the Manager and the Index Provider are presently subsidiaries of Hang Seng Bank Limited. The functions which the Index Provider and the Manager will perform in connection with the HSCEI ETF may give rise to potential conflicts of interest. Please refer to the Hong Kong Offering Document for further details.
- ❖ Apart from the above, each of the Trustee (also acting as the Registrar), the Manager (also acting as the Listing Agent) and the Index Provider are members of the HSBC Group (the "Group"). One or more of the Participating Dealers and/or market makers may also from time to time be members of the Group. Whilst these are separate legal entities and operationally independent, in the event of a financial catastrophe or the insolvency of any member of the Group, there may be adverse implications for the business of the Group as a whole or other members of the Group which could affect the provision of services to the HSCEI ETF. In such event the Net Asset Value of the HSCEI ETF may be adversely affected and its operation disrupted.
- ❖ It should be noted that the Trustee, the Manager and the Index Provider are presently all members of the Group, and one or more of the Participating Dealers and/or market makers may from time to time be members of the Group. As such, although all transactions will be at arm's length, conflicts of interest in respect of the HSCEI ETF may arise from time to time amongst any of them whilst they belong to the Group. In particular, the Manager and the Trustee may be in dispute with the present Index Provider if it terminates the licence to use the Index. The Manager and each of its Connected Persons will have regard to its obligations to the HSCEI ETF and Unitholders and will endeavour to ensure such conflicts are resolved fairly.

13. Termination Risk

- ❖ The HSCEI ETF may be terminated early under certain circumstances, for example, where the Index is no longer available for benchmarking or if the size of the HSCEI ETF falls below HKD4,000,000. Investors may not be able to recover their investments and suffer a loss when the HSCEI ETF is terminated.

14. Risk associated with investments in companies with weighted voting rights

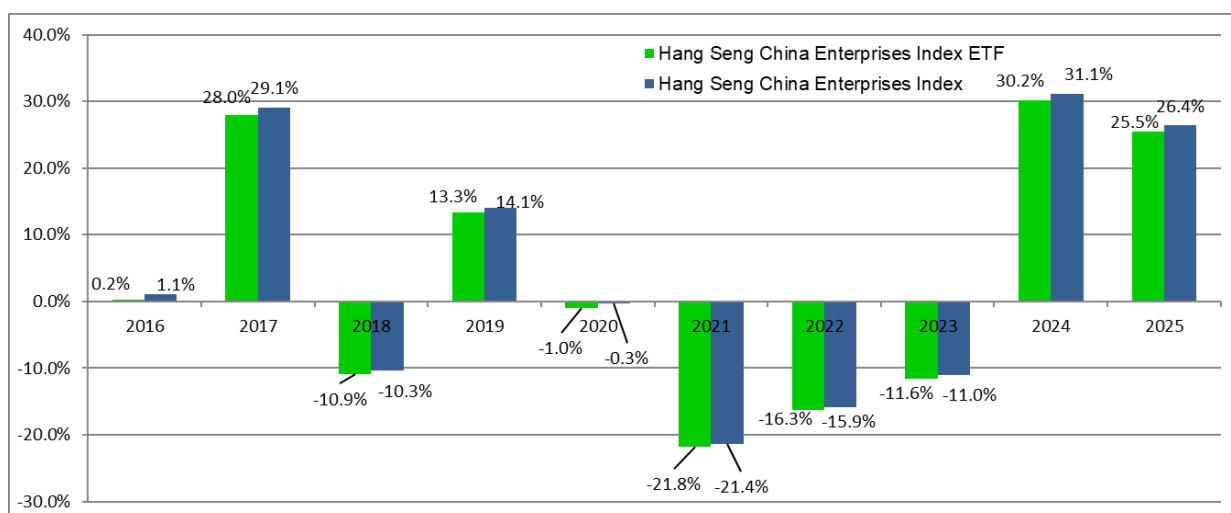
- ❖ The HSCEI ETF may invest in, or the constituents of the index tracked by the HSCEI ETF may include, companies which have a weighted voting rights structure. This leads to issues relating to shareholder rights and corporate governance as well as investor protection, which may have a

negative impact on the HSCEI ETF where the HSCEI ETF invests in the ordinary shares of such companies.

15. Risk relating to securities lending transactions

- ❖ Securities lending transactions may involve the risk that the counterparty may fail to return the securities lent out in a timely manner. The value of the collateral may fall below the value of the securities lent out.

How has the HSCEI ETF performed?



- ❖ Past performance information is not indicative of future performance. Investors may not get back the full amount invested.
- ❖ The computation basis of the total return performance is based on the calendar year end, Net Asset Value-To-Net Asset Value, with dividend (if any) reinvested.
- ❖ These figures show by how much the HSCEI ETF increased or decreased in value during the calendar year being shown. Performance data has been calculated in HKD including ongoing charges and excluding your trading costs on SEHK.
- ❖ The Benchmark of the HSCEI ETF is Hang Seng China Enterprises Index (total return with dividend reinvested, net of PRC withholding tax).
- ❖ To achieve comparability among funds' performance presentations in the market for investors, the Manager is to change the methodology used to calculate portfolio and composite returns with effective from 1 September 2022 onward. The change is the total return with dividend reinvested at ex-dividend date instead of payment date. Performance data published prior to 1 September 2022 is incomparable with the performance calculated by the new calculation methodology.
- ❖ HSCEI ETF launch date: 2003.

Is there any guarantee?

The HSCEI ETF does not have any guarantees. You may not get back the amount of money you invest.

What are the fees and charges?

Charges incurred when trading the HSCEI ETF on SEHK

Fee	What you pay
Brokerage Fee	Market rates
SFC Transaction Levy	0.0027% ¹
Accounting and Financial Reporting Council ("AFRC") Transaction Levy	0.00015% ²
SEHK Trading Fee	0.00565% ³
Stamp Duty	Nil

¹ SFC Transaction Levy of 0.0027% of the trading price of the Units is payable by each of the buyer and the seller.

² AFRC transaction levy of 0.00015% of the trading price of the Units is payable by each of the buyer and the seller.

³ SEHK Trading Fee of 0.00565% of the trading price of the Units is payable by each of the buyer and the seller.

Ongoing fees payable by the HSCEI ETF

The following expenses will be paid out of the HSCEI ETF. They affect you because they reduce the Net Asset Value of the HSCEI ETF which may affect the trading price.

Fee	Annual rate (as a % of the Net Asset Value of the HSCEI ETF)
Management Fee [^]	0.55% per annum
Trustee Fee [^]	0.0425% per annum
Performance Fee	Nil
Administration Fee	Nil

[^] Please note that the annual rate stated may be increased up to a permitted maximum rate as set out in the Hong Kong Offering Document of the HSCEI ETF by giving 1 month's prior notice to relevant Unitholders.

Other fees

You may have to pay other fees when dealing in the Units of the HSCEI ETF.

Additional Information

You can find the following information of the HSCEI ETF at the website at www.hangsenginvestment.com[^] (this website has not been reviewed by the SFC):

- ❖ The Hong Kong Offering Document (including this Product Key Facts Statement) in respect of the HSCEI ETF, as may be updated from time to time
- ❖ The latest annual audited and interim unaudited financial reports of the HSCEI ETF
- ❖ The last Net Asset Value in HKD and the last Net Asset Value per Unit in HKD and in RMB (updated on a daily basis)
- ❖ The near real-time indicative Net Asset Value per Unit (updated every 15 seconds during the SEHK trading hours throughout each Dealing Day) in HKD and in RMB
- ❖ Any notices relating to material changes to the HSCEI ETF which may have an impact on its investors, such as material alterations or additions to the Hong Kong Offering Document or the HSCEI ETF's constitutive documents
- ❖ Any public announcements made by the HSCEI ETF, including information with regard to the HSCEI ETF and the Index, notice of suspension of creation and redemption of units, suspension of the calculation of the Net Asset Value, changes in fees and suspension and resumption of trading
- ❖ The latest list of Participating Dealers and market makers
- ❖ The full holdings of the HSCEI ETF (updated on a daily basis)
- ❖ The ongoing charges figure and the past performance information of the HSCEI ETF
- ❖ The annual tracking difference and tracking error of the HSCEI ETF
- ❖ The compositions of the dividends (i.e. the relative amounts paid out of (i) net distributable income and (ii) capital), if any, for a rolling 12-month period

The near real-time indicative Net Asset Value per Unit in RMB is indicative and for reference only. The near real-time indicative Net Asset Value per Unit in RMB does not use a real-time RMB: HKD foreign exchange rate – it is calculated using the indicative Net Asset Value per Unit in HKD multiplied by an assumed foreign exchange rate using the Tokyo Composite 3:00 p.m. Tokyo time (2:00 p.m. Hong Kong time) mid rate quoted

by Bloomberg for offshore RMB (CNH) on the previous SEHK trading day.

The last Net Asset Value per Unit in RMB is indicative and for reference only and is calculated using the last Net Asset Value per Unit in HKD multiplied by an assumed foreign exchange rate using the Tokyo Composite 3:00 p.m. Tokyo time (2:00 p.m. Hong Kong time) mid rate quoted by Bloomberg for offshore RMB (CNH) as of the same Dealing Day. Please refer to the Hong Kong Offering Document for details.

Important

If you are in doubt, you should seek professional advice.

The SFC takes no responsibility for the contents of this statement and makes no representation as to its accuracy or completeness.

▲ This website has not been reviewed by the SFC.

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